

THE SIMPLE WAY TO DOUBLE YOUR MONEY

Exponential growth is a key concept to understand. Exponential growth is also exactly what we want with our investment portfolios. It is just another way of talking about the power of compounding.

If something grows at a fixed percentage each year, the *amount* it grows in each successive year will get bigger over time (even though the *rate* of growth remains the same). And small differences in the yearly growth rate result in big differences in long-term results.

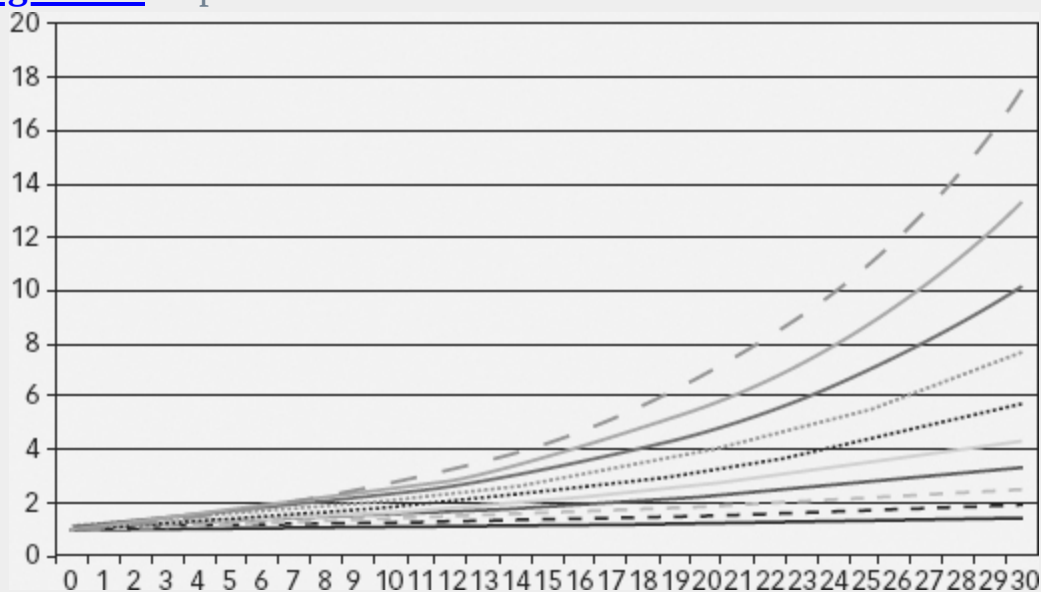
Let's say an investment grows at 10% per year. Invest \$100, and after one year you have \$110. The investment has gone up \$10. In Year Two, it goes up another 10%, which is now \$11. So the profit has increased from \$10 to \$11. *This is because there are profits on the earlier profits.*

This is what we call the power of compounding. Which, as you should know by now, is the most effective way to grow your wealth over time or, as market guru Richard Russell famously put it, is the “royal road to riches.”⁴

The Picture of Compounding

[Figure 3.3](#) shows how exponential growth looks over 30 years (roughly a generation) using various growth rates from 1 percent per year (the lowest line) up to 10 percent per year (the highest line). Values are shown on the vertical axis and all start at 1. The years are shown along the horizontal axis.

Figure 3.3 Exponential Growth



The really important thing to grasp here is that the lines are curved and not straight. This is how the power of compounding looks over the long haul. You could call it the “picture of compounding.”